Product-process matrix

A product-process matrix is a tool that can help a business to identify the best way to make a product, based on volume and the level of customization.

How it works

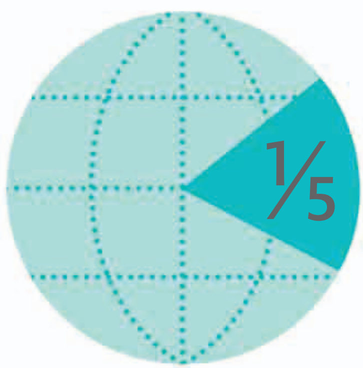
Products pass through different stages and so does the production process. Businesses typically start with low volume and are highly flexible but not very cost-efficient. A print shop or dressmaker is an example of a company positioned in the bottom left-hand corner of the product-process matrix, where each job is unique and job production is most effective. Production stages then progress through increasing standardization and mechanization to full automation. Companies in the top right-hand corner have high-volume products and a small range so continuous flow production is the best option.

EVOLVING PROCESS

The product-process matrix was first introduced by Harvard academics Robert H. Hayes and Steven C. Wheelwright in the *Harvard Business Review* in 1979. Since then, some companies have worked out the apparent contradiction of how to customize high-volume products (mass customization). Nevertheless, the product-process matrix remains relevant in many industries.

Choosing the best method

A business, or business unit in a large company, occupies a particular region in the matrix. Different processes suit different products, depending on the stage of their life cycle and the scale of the business.



China accounts for one-fifth of global manufacturing